

POLICYREADY • NEW MEXICO

How to Open a **Group Home Business** in New Mexico

Family Living & Supported Living under the DD Waiver

Step by Step

*From “where do I start?” to your first payment —
whether you start with a family living home, or your own agency.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of New Mexico.

Read this first

This is a plain-language roadmap built from New Mexico's actual rules, agencies, and DD Waiver standards. It is not legal, tax, or billing advice, and the details change — rates, codes, and standards update regularly. Before you act, confirm the current specifics with DDS (part of the Health Care Authority), your DDS Regional Office, the Division of Health Improvement, an attorney, an accountant, and an insurance broker. One honest heads-up unique to New Mexico: the DD Waiver has a very long wait — the Central Registry can take many years — but people are served every day, and providers are always needed. Every rule and citation here is real, but always check the current version before you rely on it.

What this guide covers

- Part 0 — The big picture: the DD Waiver, Family Living vs. Supported Living, and the two ways in.
- Part 1 — Path A: a Family Living home under a DD Waiver provider agency (the small, live-with start).
- Part 2 — Path B: becoming your own DD Waiver provider agency (run Supported Living homes).
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (home study, health & safety, and DHI surveys).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: the daily rate, Supported Living categories, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Albuquerque & Las Cruces worked out).

PART 0

The Big Picture

Opening a group home in New Mexico is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

Family Living vs. Supported Living — what you're actually opening

In New Mexico, residential support for adults with developmental disabilities is called Living Supports, and it comes in two main forms. Family Living is the host-home model: an adult lives with a paid caregiver (in your home or theirs), provided to no more than two people at a time. Supported Living is the group-home model: a home or apartment of three or fewer adults who receive 24-hour support, priced in Categories 1 through 4 by level of need. (A third form, Intensive Medical Living, is for people who need daily skilled nursing.) Both Family Living and Supported Living are delivered by agencies contracted with the state.

The players — learn these names, you'll deal with all of them

- DDSD — the Developmental Disabilities Supports Division, now part of the New Mexico Health Care Authority (HCA). It administers the DD Waiver, enrolls providers, and sets the standards.
- HCA — the Health Care Authority, New Mexico's Medicaid agency (it determines eligibility and pays claims).
- DD Waiver (DDW) — the Medicaid HCBS waiver that funds these services.
- Case Manager — develops the Individual Service Plan (ISP), coordinates services, and handles budget approvals (you have the right to choose your case manager).
- DDSD Regional Office — the Regional Office Bureau provides direct oversight and technical assistance in your area.
- DHI / QMB — the Division of Health Improvement and its Quality Management Bureau, which survey living-supports agencies (unannounced) for health, safety, and compliance.

The fork in the road — there are two ways in

This decides your scale and your paperwork.

- Path A — Become a Family Living provider under an existing DD Waiver agency. One or two adults live with you; the agency approves your home (a home study), supports you, and handles the billing. Fastest, simplest — and the closest thing to a host home.
- Path B — Become your own DD Waiver provider agency. You contract with DDSD, meet the agency requirements (insurance, bond, accreditation), and run Supported Living homes and/or recruit Family Living homes. Much bigger lift — but it's the real business.

PART 1 • PATH A

A Family Living Home (under a DDW agency)

Start here. It's the fastest way in — and you can grow into your own agency later.

Step 1 — Make sure it fits your life

Family Living means one or two adults with developmental disabilities live with you and share your everyday life. Everyone in the household is part of the approval process, so this is a family decision. You'll be supporting someone through the good days and the hard ones — go in with eyes open.

Step 2 — Choose a DD Waiver provider agency

On this path you don't contract with the state yourself — you partner with a DDSD-contracted Family Living provider agency. They complete your approval, support and monitor you, arrange substitute coverage when you need a break, and handle the billing. New Mexico has roughly 70 waiver provider agencies; ask around your DDSD Regional Office and interview more than one.

Step 3 — Complete your home study & training

The agency completes a DDSD-approved home study of your home and family before anyone is placed, plus the required training. The home study is updated every year, and any time your family composition changes or you move. This is the heart of Family Living approval.

Step 4 — Pass background checks

You and the adults in your home complete the required criminal-history and abuse-registry background checks (New Mexico screens against its caregiver registry). Your agency walks you through it.

Step 5 — Get matched

The agency, the person's Case Manager, and the team match you with someone whose needs and personality fit your home. New Mexico emphasizes person-centered planning and the person's freedom to choose — a good match is what makes it work.

Step 6 — Put your policies in writing

You'll keep clear documentation — medications, emergencies, incident reporting (and New Mexico's Abuse/Neglect/Exploitation reporting), and the rights of the person you support. PolicyReady's New Mexico manuals are built for exactly this: ready to customize, just add your details.

Step 7 — Get supported, and get paid

The agency bills New Mexico Medicaid and pays you. Because the person lives in your home, your Family Living payments may qualify for the IRS “difficulty-of-care” exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

Become Your Own DD Waiver Provider Agency

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business

- Form your entity (LLC or corporation) with the New Mexico Secretary of State and get your EIN.
- Register with the NM Taxation & Revenue Department and get your CRS (Combined Reporting System) certificate.
- Get a Type 2 (organizational) NPI (free) for Medicaid enrollment.

Step 2 — Line up insurance, a bond, and accreditation

- General or professional liability insurance with a \$1,000,000 minimum, naming the Health Care Authority as an additional insured.
- A surety bond (individual) or fidelity bond (group) with a \$10,000 minimum, per DDSD requirements.
- National accreditation (for example CARF or CQL) — or a DDSD accreditation waiver for your initial agreement term.

Step 3 — Apply to become a DDW Qualified Provider Agency

Submit the DDW Qualified Provider Application to DDSD's Provider Enrollment & Relations Unit — including your Articles of Incorporation and board list, CRS certificate, insurance and bond, organizational chart with position descriptions, and answers to any service-specific questions (for example, your nursing plan). DDSD approves the geographic area(s) and specific service(s) you're authorized to provide.

Step 4 — Sign your DDSD contract & enroll with Medicaid

All provider agencies must have a contract (Provider Agreement) with DDSD and complete New Mexico Medicaid enrollment. Remember: waiver services aren't an entitlement and funding isn't guaranteed — you're authorized to serve within your approved areas and services.

Step 5 — Set up your homes, policies & staff, then serve

Stand up your Supported Living home(s) to the DD Waiver Service Standards, put your policies and procedures in place (PolicyReady manuals), hire and train your staff, and prepare for DHI/QMB surveys. Then you can accept referrals, deliver services, and bill (Parts 5 and 6).

PART 3

Who You Actually Need (Staffing)

Family Living (Path A): you and your household are the support. The agency provides the professional oversight, the home study, and the billing, and is responsible for arranging substitute coverage so you can take time off. You don't build a staff.

Supported Living / your own agency (Path B), plan for these roles — one person can wear several hats at the start:

- Agency director / administrator — runs the agency, owns compliance and the DDS contract.
- Direct support personnel (DSP) — the caregivers who provide 24-hour support in your Supported Living homes; each screened and trained.
- Registered Nurse — for health oversight, medication, and (for Intensive Medical Living) direct skilled nursing; RNs/LPNs must meet the NM Nursing Practice Act.
- Quality / compliance staff — to keep up with DD Waiver Standards and prepare for DHI/QMB surveys.
- Billing / administrative support — handles Medicaid billing, budgets, and documentation (New Mexico uses the Therap system for much documentation).

PART 4

The Home: What Your House Actually Needs

How New Mexico handles homes

New Mexico doesn't license these homes as facilities. Instead, a Family Living home is approved through a home study by your provider agency, and a Supported Living home is a provider-operated residence held to the DD Waiver Service Standards. Both are overseen by the Division of Health Improvement (DHI) and its Quality Management Bureau (QMB), which conduct unannounced surveys for health, safety, and compliance. So you're meeting standards and passing surveys, rather than getting a facility license.

“Do I need fire sprinklers?” — the honest answer

Because Family Living (one or two people) and Supported Living (three or fewer) happen in small private or provider-operated residences — not large licensed facilities — commercial fire-sprinkler systems generally are not required. What you must have is a genuinely safe home that meets the DD Waiver health-and-safety standards and passes DHI surveys. Fire requirements come from your local fire authority and building code, so confirm anything unusual (especially for a larger or modified home) with them before you commit to a property.

THE HOME CHECKLIST (DD WAIVER SERVICE STANDARDS)

- Working smoke and carbon-monoxide detectors, a fire extinguisher, and clear, usable exits with a practiced evacuation plan.
- Safe hot-water temperature — DDSD sets water-temperature requirements for Supported Living, Family Living, and Intensive Medical Living to prevent scalding.
- Safe, clean, sanitary conditions — sound utilities and electrical, working plumbing, and safe food storage and preparation.
- Medications and any hazardous materials stored safely; individual rights and privacy respected (this is someone's home, under the HCBS Settings rule).
- For Family Living: an approved home study (updated annually and when your family or home changes). For Supported Living: compliance with the Service Standards and readiness for DHI/QMB surveys.

Two more things people get wrong

- Zoning — a Family Living or small Supported Living home is a residence, and homes for people with disabilities are protected as residential use under the federal Fair Housing Act. Still, confirm your address and any local rules with your city or county.
- Room and board is separate from your pay. New Mexico does not pay room and board through the waiver — the person's room and board comes from their SSI or personal funds. Your Living Supports rate is for the service; keep the two separate.

PART 5

Getting Your First Person Placed

You can't get paid until someone is placed with you and their budget is approved. Here's how that happens.

1. The person qualifies — and waits. To receive the DD Waiver, a person must meet New Mexico's developmental-disability definition and an ICF/IID level of care, plus financial eligibility. Because slots are limited, most people spend years on the Central Registry before an allocation — a real feature of the New Mexico system.
2. They get allocated. When funding is available, the person is allocated off the registry (crisis situations can be expedited by the DDSD Expedited Referral Review Team).
3. The plan and budget are built. A Case Manager (the person's choice) develops the Individual Service Plan; a Supports Intensity Scale (SIS) assessment helps set support needs, and the budget — including your Supported Living category — is reviewed by the Medicaid third-party assessor.
4. The match. The person chooses providers (freedom of choice); you (or your agency) are matched based on fit and your approved services and area.
5. Move-in. With the ISP and budget approved, the person moves in and you're delivering a billable service.

PART 6

How You Get Paid: The Daily Rate & Your First Payment

How the rate works

Living Supports are paid as a daily rate through New Mexico Medicaid. Family Living has its own rate; Supported Living is priced in four categories (Category 1 through Category 4) that reflect the person's assessed level of need and the staffing the home requires — a higher category means more support and a higher rate. The amount you can bill is set by the person's approved DD Waiver budget in their ISP.

What drives your number

- Family Living vs. Supported Living: separate rate models — Family Living (1–2 people, live-with) is priced differently from Supported Living (3 or fewer, 24-hour).
- Supported Living Category (1–4): the category, set from the person's assessed needs, drives the daily rate and the staffing the budget assumes.
- Budget-approved: your services are authorized in the person's ISP budget, reviewed by the Medicaid third-party assessor — you bill according to that approval.
- Where to look: the exact procedure codes and current per-diem rates are in the DD Waiver fee schedule / rate table (HCA). Confirm the current figure before you budget.

How you bill — and one rule to remember

- Billed to New Mexico Medicaid: claims go to NM Medicaid (a Family Living home's claims are filed by its provider agency).
- Room and board is separate — never billed to the waiver, and never billed to the person as part of your service.
- Documentation matters: New Mexico requires specific billing and service documentation (much of it in the Therap system) — keep it current, because surveys and audits check it.

Your first payment

6. Confirm the ISP budget authorizes your service (Family Living, or the right Supported Living category).
7. Deliver the service and keep your daily documentation.
8. Submit the claim to New Mexico Medicaid (your agency does this for a Family Living home).
9. Get paid — and keep the budget and authorizations current, since claims pay against the approved ISP.

PART 7

What It Costs & How Long It Takes

Timeline

A Family Living home (Path A) can move relatively quickly once you've chosen an agency — the home study, training, and background checks. Becoming your own DD Waiver agency (Path B) takes longer: the business setup, insurance and bond, accreditation, the DDW Qualified Provider Application, your DDS contract, and Medicaid enrollment. And remember the bigger clock: because the Central Registry wait is long, provider demand is steady but placements follow the state's allocation schedule. Confirm current timelines with your DDS Regional Office.

Startup line items

Family Living costs are modest — mainly your time, background checks, training, and getting your home ready. A DD Waiver agency adds business formation, the \$1M liability insurance and the surety/fidelity bond, accreditation, staff payroll, and your policies and procedures. Confirm current figures with DDS.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In New Mexico, your DDSD Regional Office is the center of gravity, with DHI and your local fire authority close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
Becoming a provider (enrollment)	DDSD Provider Enrollment & Relations — hca.nm.gov (Developmental Disabilities Supports Division)
Waiver eligibility, allocation & the registry	DDSD Pre-Service Intake Bureau / your DDSD Regional Office
Health & safety oversight (surveys)	Division of Health Improvement (DHI) / Quality Management Bureau (QMB)
Rates, fee schedule & billing	New Mexico Medicaid (HCA) — DD Waiver fee schedule / rate table
Report abuse, neglect or exploitation	ANE Hotline — 866-654-3219

The local calls — and what to ask on each one

① YOUR DDSD REGIONAL OFFICE / A DDW AGENCY — YOUR MOST IMPORTANT CALLS

- “I want to become a Family Living provider / start a Supported Living agency in this area. Where's the need, and which agencies should I talk to?”
- (To an agency) “How do you approve and support Family Living homes, how do you match, and how and when do you pay?”

② DIVISION OF HEALTH IMPROVEMENT — THE SURVEYS

- “What do your living-supports surveys check, and where can I get the survey field tools to self-assess my home before I open?”

③ LOCAL FIRE AUTHORITY / BUILDING — THE HOME

- “I'll operate a small residential home for [1–3] adults with developmental disabilities. What fire-safety requirements apply, and do I need anything beyond smoke/CO detectors and extinguishers?”

Fully worked examples — New Mexico's two biggest metros

Most people start in or near one of these two. DDSD runs seven regional offices statewide — find yours by where you live.

ALBUQUERQUE (DDSD METRO REGION)

- DDSD Regional Office: Metro Office — 5300 Homestead Road NE, Albuquerque, NM 87110 (covers the Albuquerque metro area).
- Enrollment: DDSD Provider Enrollment & Relations (via hca.nm.gov).
- Home & fire: City of Albuquerque / Bernalillo County fire authority for any fire-safety requirements; DHI/QMB for the living-supports survey.
- The local quirk here: the Metro region is the state's largest and busiest — build relationships with local Case Managers, since the person chooses their provider.

LAS CRUCES (DDSD SOUTHWEST REGION)

- DDSD Regional Office: Southwest Office — 1170 N. Solano Drive, Suite G, Las Cruces, NM 88001 (covers the southwest, including Doña Ana County).
- Enrollment: same statewide DDSD process.

- Home & fire: City of Las Cruces / Doña Ana County fire authority; DHI/QMB for the survey.
- The local quirk here: the southwest region is large and rural beyond Las Cruces — confirm which communities your approved service area covers.

How to find your own region & offices

10. Find your DDSD Regional Office (Metro/Albuquerque, Santa Fe, Taos, Gallup, Farmington, Las Cruces, Roswell) by where you live.
11. Contact DDSD Provider Enrollment & Relations to start the provider process.
12. For fire safety, call your city or county fire authority; for surveys, work with DHI/QMB.

CORE RULES & REFERENCES

- DD Waiver Service Standards (DDSD) — Family Living, Supported Living, and Intensive Medical Living definitions and standards.
- 8.314.5 NMAC — Long-Term Care Services / DD Waiver (Living Supports); 8.290.4 / 8.313.2 NMAC — eligibility and level of care.
- DDW Qualified Provider Application (DDSD) — provider requirements (insurance, bond, accreditation, contract).
- DD Waiver fee schedule / rate table (HCA) — procedure codes and current per-diem rates; Supported Living Categories 1–4.

You can do this.

Opening a group home in New Mexico is real work — the waiver system has a lot of moving parts, and the wait for services is long — but it's a real, walkable path, and people across the state do it every day, giving someone a real home in the community. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start with a Family Living home or build your own agency, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your DDSD Regional Office — that's what they're there for.

Prepared for PolicyReady.org. Grounded in New Mexico DDSD / Health Care Authority rules, the DD Waiver Service Standards, and the New Mexico Administrative Code as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of New Mexico before you act.